FINANCIAL ANALYSIS COURSE · STUDY NOTES

Basics of Accounting

Part 1: Introduction to Accounting

Meaning · Functions · Accounting Cycle · Objectives
Branches · Limitations · Types of Financial Information

What these notes are. A detailed, explanatory rewrite of the lecture notes on the *Basics of Accounting* (Parts 1_A, 1_B and 1_C). Every idea in the lecture notes is covered, in a sequential order, with definitions, rules, formulas, worked examples and case studies, followed by a glossary and a revision section. They are written so that a reader with no prior accounting background can follow them from start to finish.

October 2026

About These Notes

How the notes are organised

The notes follow one logical thread: **why accounting exists → what accounting is → what it does and how it is organised → what it can and cannot tell us → what information it produces.**

Section	Topic	Lecture part
1	Why a business needs accounting; business transactions	1_A
2	Meaning and definition of accounting	1_A
3	Accountancy, bookkeeping and accounting	1_B & 1_C
4	Luca Pacioli, the "Father of Accounting"	1_A
5	Objectives and purpose of accounting	1_A, 1_B & 1_C
6	Users of accounting information	1_A, 1_B & 1_C
7	The seven functions of accounting	1_A
8	The accounting cycle	1_A
9	Worked case study: from transaction to decision	1_A (big picture)
10	Financial, cost and management accounting	1_B & 1_C
11	Accounting as a science and as an art	1_B & 1_C
12	Uses and advantages of accounting	1_B & 1_C
13	Limitations of accounting	1_B & 1_C
14	Types of accounting information	1_B & 1_C
15	The complete conceptual framework	1_B & 1_C
16	Glossary of key terms	all
17	Revision: summaries, common mix-ups, self-test	all

Colour-coded boxes used throughout

Definition: Blue box

Formal definitions of terms. Learn these word for word.

Key Idea

Green box: the one-line takeaway of a topic, usually the question that the topic answers.

Important

Amber box: rules, warnings, limitations and common traps.

Example: Purple box

Worked examples, with numbers, that illustrate a concept.

Case Study: Teal box

Longer case studies that tie several concepts together.

Conventions

Amounts are in Indian Rupees (₹) using the Indian digit grouping (for example ₹5,00,000 means five lakh). Where an example uses figures that are not in the original lecture notes, the assumptions are stated explicitly so that nothing is hidden.

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1 Why Does a Business Need Accounting?

1.1 The need for reliable financial information

The fundamental objective of a business is generally to **earn profit** and create value. But to know whether a business is actually performing well, the owner (and every other stakeholder) needs **reliable financial information**.

At the end of an accounting period, such as a month, a quarter or a year, a business will want answers to questions like the following.

Question the business asks	What it is asking about
How much profit or loss did the business make?	Profit or loss for the period
How much inventory (stock) is currently held?	Inventory / stock
What are the business's assets?	Assets (what the business owns)
How much does the business owe to outsiders?	Liabilities (what the business owes)
How much is owed to the business by customers or others?	Amounts receivable
How much has been invested by the owners?	Owner's capital / equity
What are the revenues and expenses?	Components of profit or loss
What is the overall financial position?	Assets, liabilities and equity taken together

1.2 Why memory and loose records are not enough

These questions **cannot be answered accurately** by looking at individual transactions in isolation or by trying to remember what happened during the year. A business may carry out thousands of transactions in a year, and nobody can reliably recall every sale, purchase, payment and receipt.

Therefore the business must maintain a:

Key Idea

Complete and systematic record of every business transaction of a financial nature.
Accounting is the system through which these transactions are *recorded, organised, summarised, analysed and communicated.*

1.3 What is a business transaction?

Definition: Business transaction

A **business transaction** is an economic event involving the business that can be **measured in monetary terms** and has a **financial effect** on the business.

Typical examples

- Purchase of goods
- Sale of goods
- Payment of salaries
- Payment of rent

- Purchase of machinery
- Receipt of cash from customers
- Borrowing money from a bank
- Repayment of a loan
- Payment to suppliers

The three tests. An event is recorded as an accounting transaction when it passes all three of these tests:

1. It **relates to the business**.
2. It has **financial consequences** for the business.
3. It can be **measured in money**.

Not every event is an accounting transaction

Not every event involving a business is recorded. Suppose *the manager decides to hire an employee next month.* This decision by itself does not create a measurable financial transaction. It becomes a transaction only when the business actually **pays the employee's salary**, because at that point there is a financial effect that can be measured in money.
Accounting therefore primarily records **financially measurable economic events**.

2 Meaning of Accounting

2.1 The definition

Definition: Accounting

Accounting is the process of **identifying, recording, classifying, summarising, interpreting and communicating** financial information of a business to its users for **judgement and decision-making**.

This definition shows that accounting is **much more than simply recording transactions**. It is a sequence of activities:

Identify → Record → Classify → Summarise → Analyse → Interpret → Communicate

Six verbs or seven?

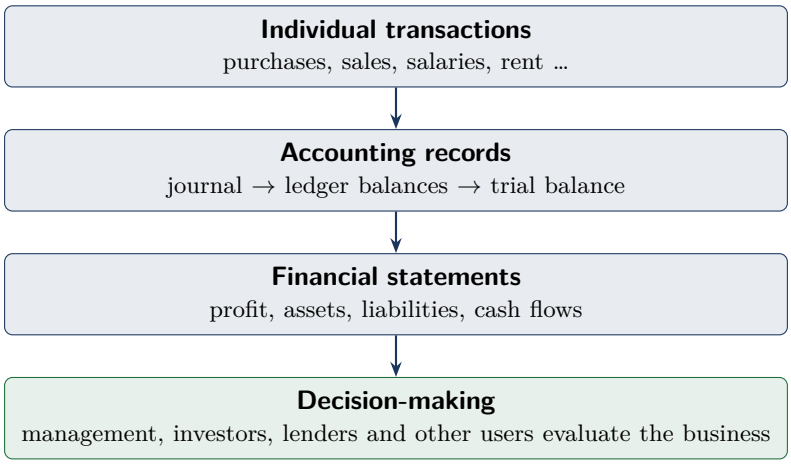
The definition above names six activities. In the lecture's list of functions, *analysing* is shown as a separate seventh activity, sitting between summarising and interpreting. Many textbook versions of the definition include it. In either case, remember the **seven functions**, which are developed in Section 7.

2.2 Reading the definition word by word

Word in the definition	What it means
Process	Accounting is a continuing series of steps, not a single act.
Identifying	Deciding which events are business transactions with a measurable financial effect.
Recording	Entering identified transactions systematically, in chronological order.
Classifying	Grouping similar transactions together under suitable accounts.
Summarising	Condensing the classified data into compact financial statements.
Interpreting	Giving meaning to the numbers and relationships found.
Communicating	Delivering the information to those who need it.
Financial information	Information measured in money terms.
Users	Management, owners, investors, lenders, creditors, government, and others.
Judgement and decision-making	The final purpose: users act on the information.

2.3 Accounting as an information system

Accounting can be viewed as a system that converts **raw financial transactions into useful information**.



Example: From raw transactions to a result

Suppose a business has these four individual transactions in a period:

- Purchase of inventory: ₹50,000
- Sale of goods: ₹80,000
- Salary paid: ₹10,000
- Rent paid: ₹5,000

Individually these are just four events. After they are recorded, classified and summarised, the business can see, for example, total sales, total purchases and total expenses, and it can compute its result. *Assuming all the inventory purchased was sold in the period*:

$$\text{Profit} = 80{,}000 - 50{,}000 - 10{,}000 - 5{,}000 = \ \ 15{,}000.$$

Management, lenders or investors can then evaluate the business using such information.

3 Accountancy, Bookkeeping and Accounting

Three similar-sounding words are used in this subject. They are related but different.

3.1 Accountancy

Definition: Accountancy

Accountancy is the systematic **body of knowledge** concerning accounting, including the **principles, concepts, rules, conventions, techniques and practices** that are applied in accounting.

In simple terms: *accounting is the practical process of recording and processing financial information, whereas accountancy is the broader body of knowledge underlying that process.* Accountancy covers the theoretical and practical framework within which accounting is carried out.

$$\boxed{\text{Accountancy} = \text{Theory} + \text{Principles} + \text{Concepts} + \text{Practices of Accounting}}$$

3.2 Bookkeeping

Definition: Bookkeeping

Bookkeeping is the process of recording business transactions having monetary aspects in the books of accounts.

Bookkeeping deals primarily with:

$$\boxed{\text{Bookkeeping} \rightarrow \text{Identify} + \text{Measure} + \text{Record} + \text{Classify}}$$

Nature of bookkeeping. It is largely routine, clerical, procedural and record-oriented, and it generally requires less analytical judgement than the later stages of accounting.

3.3 Accounting (in the narrower, post-bookkeeping sense)

Accounting is broader than bookkeeping. It begins with the information generated by bookkeeping and then involves:

$$\boxed{\text{Accounting} \rightarrow \text{Summarise} + \text{Analyse} + \text{Interpret} + \text{Communicate}}$$

Key Idea

Bookkeeping is a part of accounting. Bookkeeping provides the basic accounting records; accounting turns those records into meaningful financial information.

$$\boxed{\text{Bookkeeping} \subset \text{Accounting}}$$

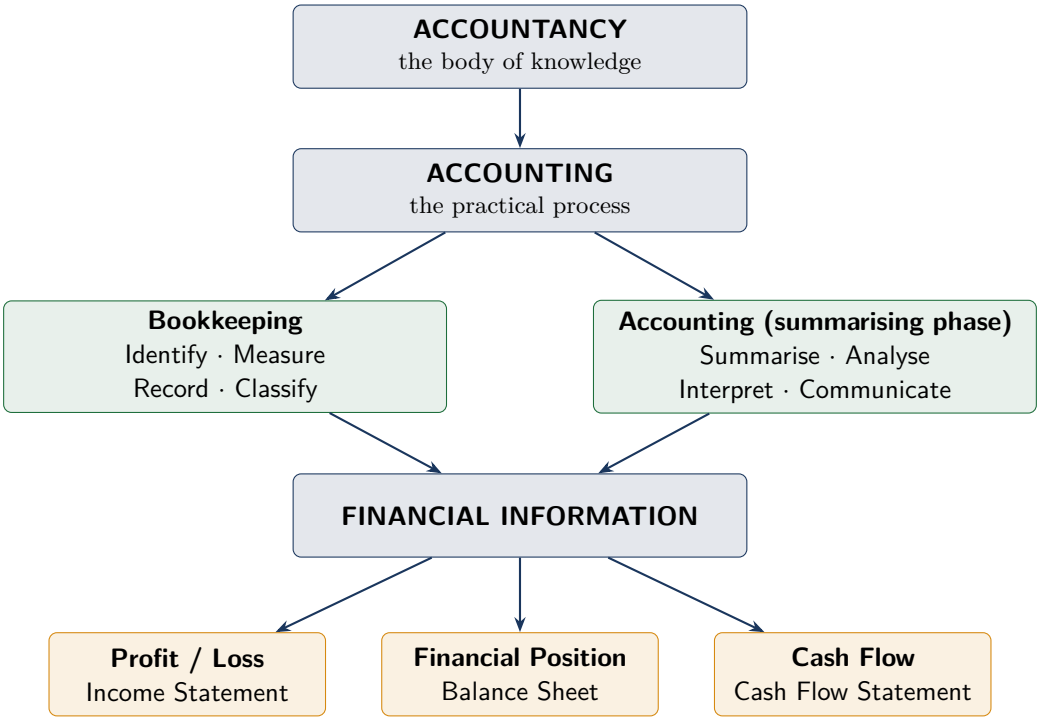
3.4 Bookkeeping versus accounting

Basis	Bookkeeping	Accounting
Objective	To maintain systematic records of transactions of a financial nature	To ascertain the net results and financial position of the business
Phase	The recording phase of the accounting system	The summarising phase, and subsequent analysis and interpretation
Stage	Primary (initial) stage	Secondary stage, beginning after bookkeeping
Nature of skills	Routine and clerical	Analytical; needs accounting knowledge and judgement
Who performs it	Bookkeepers / bookkeeping staff	Accountants / accounting staff

3.5 The overall flow



3.6 Accountancy vs. accounting vs. bookkeeping on one page



4 Luca Pacioli: The Father of Accounting

Luca Pacioli is commonly known as the **Father of Accounting**, particularly because of his important role in **documenting and disseminating the principles of double-entry bookkeeping**.

Fact	Detail
Who	Luca Pacioli, an Italian mathematician and Franciscan friar
Year	**1494**
Work	*Summa de Arithmetica*, which included a description of the Venetian method of bookkeeping based on double-entry principles
Why important	His work helped formalise and spread systematic bookkeeping practices that became foundational to modern accounting

Important distinction

Pacioli did **not invent every underlying bookkeeping practice from nothing**. He is especially remembered for **documenting and popularising** the double-entry bookkeeping system. In an examination, the safe statement is: *"Luca Pacioli, Father of Accounting, documented and popularised double-entry bookkeeping in 1494."*

5 Objectives and Purpose of Accounting

The broad purpose of accounting is to provide **reliable financial information for decision-making**. This purpose is delivered through four major objectives.

Key Idea

1. Maintain a systematic record of business transactions
2. Determine profit or loss
3. Determine financial position
4. Provide information to interested parties

5.1 Objective 1: Maintain a systematic record of transactions

The first objective is to maintain a **complete and systematic record of business transactions** according to established accounting rules and procedures.

Process. Transactions are first recorded in the **journal** or in **subsidiary books**, and are then **posted to the ledger**:

$$\text{Transaction} \rightarrow \text{Journal / Subsidiary Books} \rightarrow \text{Ledger}$$

What are subsidiary books?

Subsidiary books are separate books of original entry kept for frequently occurring types of transaction (for example, a cash book, a sales book or a purchases book), so that the main journal is not overloaded.

Why a complete record matters. A complete record helps to reduce:

- omission of transactions,
- loss of information,

- fraud or unauthorised manipulation,
- dependence on human memory.

Imagine a business carrying out thousands of transactions every year. Relying on memory would make an accurate determination of profit, assets, liabilities, receivables and expenses impossible. Accounting creates a **permanent and organised record**.

5.2 Objective 2: Calculate profit or loss

The second objective is to ascertain the **net profit earned or net loss suffered during a particular accounting period**, by considering the business's revenues and expenses.

$$\boxed{\text{Profit} = \text{Revenue} - \text{Expenses}} \quad \text{(when revenue exceeds expenses)}$$

$$\boxed{\text{Loss} = \text{Expenses} - \text{Revenue}} \quad \text{(when expenses exceed revenue)}$$

The **Income Statement / Profit and Loss Account** is prepared to determine the result.

Profit and loss relate to a period of time

The result always relates to a **period**, such as one month, one quarter or one financial year (for example, "profit for the year ended 31 March 2026").

5.3 Objective 3: Ascertain the financial position

Profit alone does not tell the complete story. A business may have earned a profit and still have substantial liabilities or insufficient resources. Accounting therefore also aims to determine the **financial position** of the business, presented in the **Balance Sheet / Statement of Financial Position**.

The balance sheet reports three things:

Element	Meaning
Assets	Resources controlled by the business (what it *owns*)
Liabilities	Obligations owed by the business to outsiders (what it *owes*)
Capital / Equity	The owners' residual interest in the business

5.3.1 The accounting equation

$$\boxed{\text{Assets} = \text{Liabilities} + \text{Equity}}$$



Rearranging gives the *residual* view of equity: Equity = Assets − Liabilities. The equation is the foundation of everything that follows, because every transaction must leave it in balance.

Example: How transactions keep the equation in balance

Transaction	Assets (₹)	Liabilities (₹)	Equity (₹)
1. Owner invests ₹1,00,000 in cash	1,00,000	0	1,00,000
2. Goods bought for ₹30,000 cash (cash ↓, inventory ↑)	1,00,000	0	1,00,000
3. Bank loan of ₹50,000 received in cash	1,50,000	50,000	1,00,000

(Figures are running totals after each transaction.) After each step, Assets = Liabilities + Equity. In step 2 only the *composition* of assets changes (cash becomes inventory); in step 3 an asset and a liability rise together.

5.3.2 Income statement versus balance sheet

	Income Statement	Balance Sheet
Question answered	What happened during the period?	What is the financial position at a particular date?
Time perspective	A period of time	A point in time
Description	Performance report	A "screen picture" (snapshot) of the financial position

5.4 Objective 4: Provide information to various parties

Accounting aims to provide financial information to **interested parties**: owners, management, creditors, banks and lenders, government authorities, investors and other stakeholders. This information lets users take appropriate economic decisions, so accounting is ultimately an **information and decision-support function**.

5.5 Other practical purposes (Part 1_A view)

Besides the four headline objectives, the lecture lists specific things accounting helps a business to determine.

5.5.1 Track inventory (stock)

Accounting helps determine how much inventory the business holds, how much has been purchased, how much has been sold and, depending on the accounting system, the value of closing inventory. This is particularly important for businesses dealing in physical goods.

5.5.2 Track amounts owed by and to the business

- **Amounts receivable:** money that customers or other parties owe the business.
- **Amounts payable:** money the business owes suppliers, lenders, employees, governments or other parties.

5.5.3 Support decision-making

Accounting is not merely a historical record-keeping exercise. It is also a **decision-support system**. Different users take different decisions, as the next section shows.

6 Users of Accounting Information

The final accounting function is communication to interested parties. They fall into two groups.

Group	Users	How they use the information
Internal users	Management	Plan and control operations
	Owners	Evaluate profitability
	Other internal decision-makers	Make operating and financing decisions
External users	Investors / shareholders	Assess performance and prospects
	Banks and lenders	Assess repayment ability
	Creditors	Judge whether dues will be paid
	Government / regulatory authorities	Compliance, taxation and regulation
	Other interested stakeholders	Understand the financial condition of the business

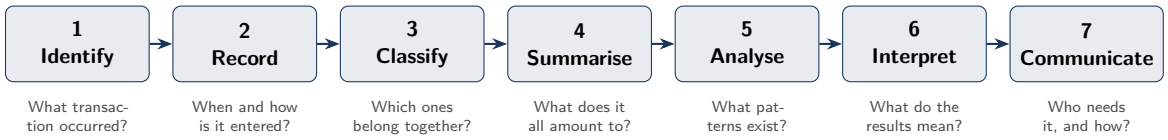
The information reaches users primarily through **financial reports and statements**, together with other relevant reports.

A note on the table

The lecture names the user groups and gives the uses for managers, investors, lenders and owners. The remaining "how they use it" entries (creditors, government, other internal decision-makers) are the natural extensions of the same idea.

7 The Seven Functions of Accounting

The lecture identifies **seven major functions** (processes) of accounting. They are the stages through which raw business transactions are converted into useful financial information.



Memory aid. Identify → Record → Group → Summarise → Analyse → Explain → Communicate, or the initials **I**–**R**–**C**–**S**–**A**–**I**–**C**.

The important idea is that accounting starts with **raw financial events** and ends with **useful information for decision-making**.

7.1 Function 1: Identifying

Meaning. The first function is to **identify business transactions of a financial character**. The accountant decides which events (1) relate to the business, and (2) have a financial effect that can be measured in money.

Source documents. Transactions are identified using documents such as:

- Invoices

- Agreements / contracts
- Cash memos
- Receipts
- Bills
- Bank documents
- Purchase orders and other supporting records

Example: Identifying a machinery purchase

A business purchases machinery for ₹2,00,000. The invoice or other documentation is the evidence. The accountant identifies that (i) the business acquired an **asset**, (ii) the transaction has a monetary value of ₹2,00,000, and (iii) it therefore needs to be recorded.

Key Idea

Identification answers: "What financial transaction has occurred?"

7.2 Function 2: Recording

Once identified, a transaction must be **systematically recorded**, generally in **chronological order** (the sequence in which transactions occur). The primary record is the **journal**, together with subsidiary books where applicable.

Example: Chronological recording

- 1 January: owner invests ₹1,00,000.
- 3 January: goods purchased for ₹30,000.
- 5 January: goods sold for ₹20,000.

They are recorded in exactly this order. Assuming all three are cash transactions, the journal entries would be:

Date	Account	Debit (₹)	Credit (₹)
1 Jan	Cash A/c (Dr)	1,00,000	
	Capital A/c (Cr)		1,00,000
3 Jan	Purchases A/c (Dr)	30,000	
	Cash A/c (Cr)		30,000
5 Jan	Cash A/c (Dr)	20,000	
	Sales A/c (Cr)		20,000

7.2.1 The double-entry principle

Under **double-entry bookkeeping**, every transaction is recorded through corresponding **debits and credits**. For every journal entry:

$$\boxed{\text{Total Debits} = \text{Total Credits}}$$

This equality is essential for maintaining the accounting equation, and it provides an **internal**

check on the recording process.

Key Idea

Recording answers: "When and how should the transaction be entered into the accounting records?"

7.3 Function 3: Classifying

Recording transactions chronologically is not enough. Similar transactions must be **grouped together**. This is **classification**, and it takes place through **ledger accounts**.

Example: Why classification is needed

During the year a business makes 50 cash sales, 20 credit sales, 15 purchases and 12 salary payments. Instead of re-reading all 97 transactions each time, related transactions are accumulated in accounts such as:

- Sales Account
- Purchases Account
- Cash Account
- Salary Account
- Debtors / Receivables Account
- Creditors / Payables Account

To find the total salary expense, we simply look at the **Salary Account** instead of searching through hundreds of transactions.

After the ledger accounts are prepared, a **trial balance** can be drawn up to check the arithmetical equality of debit and credit balances (Section 8).

Key Idea

Classification answers: "Which transactions belong together?"

7.4 Function 4: Summarising

Accounting records can contain hundreds, thousands or millions of transactions. Decision-makers do not want to inspect each one. The classified information from the ledger and trial balance is therefore **summarised** into financial statements:

- **Income Statement / Profit and Loss Account**
- **Balance Sheet / Statement of Financial Position**
- **Cash Flow Statement**

Example: Summarising in practice

Instead of listing every salary payment separately, the statements show a single line: **Salary expense = ₹6,50,000**. Instead of listing every asset purchase, the balance sheet shows the relevant asset balances.

Key Idea

Summarising answers: "What does all the recorded information amount to?"

7.5 Function 5: Analysing

Once summarised, the information must be **analysed**. Analysis examines relationships among financial statement items to understand the business's performance and position. It helps identify the **financial strengths** and **financial weaknesses** of the business.

The main techniques (developed later in financial analysis) are **ratio analysis**, **trend analysis** and **comparative analysis**.

Example: Why one number is not enough

Suppose a company's sales are increasing, its profit margin is falling, its debt is increasing and its cash flow is deteriorating. Looking at any single figure (for instance, rising sales) would give a misleading, rosy picture. Analysis establishes the **relationships between items** and shows what the numbers imply together.

Key Idea

Analysis answers: "What relationships and patterns exist in the financial information?"

7.6 Function 6: Interpreting

Analysis produces relationships and patterns. **Interpretation** gives them **meaning**.

Example: Debt-to-equity ratio

Analysis shows that the *Debt-to-Equity Ratio* has increased significantly. The *interpretation* is that the company is becoming more dependent on debt financing, potentially increasing its financial risk.

Stage	Role
Analysis	Identifies the numerical relationship
Interpretation	Explains what that relationship means

Key Idea

Interpretation answers: "What do the results of the analysis actually mean?"

7.7 Function 7: Communicating

The final function is to **communicate** the summarised, analysed and interpreted information to the relevant users (see Section 6 for the full list of internal and external users). Communication takes place primarily through financial reports and statements, along with other relevant reports.

Key Idea

Communication answers: "Who needs this information, and how should it be provided to them?"

7.8 Summary of the seven functions

#	Function	Core activity	Key question
1	Identifying	Pick out financial transactions using source documents	What transaction occurred?
2	Recording	Enter in the journal, chronologically, by debit and credit	When and how is it entered?
3	Classifying	Group in ledger accounts	Which belong together?
4	Summarising	Prepare trial balance and financial statements	What does it amount to?
5	Analysing	Study relationships among statement items	What patterns exist?
6	Interpreting	Give meaning to the analysis	What does it mean?
7	Communicating	Report to internal and external users	Who needs it, and how?

8 The Accounting Cycle

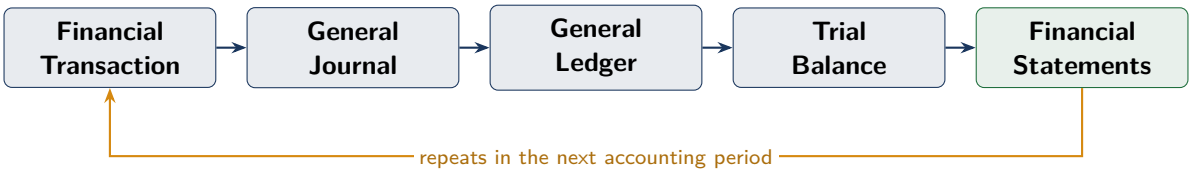
8.1 Meaning

Definition: Accounting cycle

The **accounting cycle** is the systematic process followed to record and process a company's financial transactions, beginning when a transaction occurs and ultimately resulting in the preparation of financial statements and the closing of the accounts.

It is called a **cycle** because the process is **repeated for each accounting period**. The simplified version in the lecture is:

Financial Transaction → General Journal → General Ledger → Trial Balance → Financial Statements



8.2 Stage 1: Financial transactions

The cycle begins when a **financial transaction** occurs: a purchase, a sale, payment of expenses, receipt of cash, purchase of an asset, borrowing money, repayment of debt. The transaction must first be **identified and measured in monetary terms**.

Example: Equipment purchase

A business purchases equipment for ₹1,00,000. This is a financial transaction because it (i) relates to the business, (ii) has financial consequences, and (iii) can be measured in money.

8.3 Stage 2: General journal

The identified transaction is recorded in the **journal**, in **chronological order**. A journal entry normally specifies:

- the accounts affected,
- the debit(s) and the credit(s),
- the amount,
- an explanation (*narration*) where required.

Example: Journal entry for the equipment purchase (cash)

Account	Debit	Credit
Equipment A/c	₹1,00,000	—
Cash A/c	—	₹1,00,000

The fundamental requirement is $\boxed{\text{Debit} = \text{Credit}}$.

8.4 Stage 3: Posting to the general ledger

Journal entries are then **posted to the General Ledger (GL)**. A ledger contains **individual accounts** in which all transactions relating to the same account are accumulated. All transactions affecting Cash are brought together in the Cash Account; all transactions affecting Equipment are brought together in the Equipment Account.

The ledger thus transforms the *chronological* information of the journal into an *account-wise* classification.

Example: The equipment purchase after posting

Equipment A/c		Cash A/c	
Debit	**Credit**	**Debit**	**Credit**
To Cash ₹1,00,000			By Equipment ₹1,00,000

(The Cash A/c would also carry its other entries, such as the owner's capital introduced; only the entry for this transaction is shown.)

8.4.1 Journal versus ledger

Journal	Ledger
Records transactions **chronologically**	Groups transactions **account-wise**
The first formal recording	Classification of recorded transactions
Answers "when did it occur?"	Helps determine "what is the balance or effect of this account?"

8.5 Stage 4: Trial balance

At the end of an accounting period, the **balances of the ledger accounts** are listed in a **trial balance**. Its basic purpose is to check the **arithmetical accuracy** of the records. Ideally:

$$\boxed{\text{Total Debit Balances} = \text{Total Credit Balances}}$$

Limitation: an agreeing trial balance is a check, not proof

A trial balance that agrees does **not** necessarily mean every accounting error is absent. Certain errors leave debits equal to credits. Illustrations:

- a transaction that was **completely omitted** (no debit and no credit was posted);
- a correct amount posted to the **wrong account** (for example, to the wrong expense account);
- two **offsetting errors** that cancel each other.

The trial balance is an important check, but not proof that the accounting records are completely error-free.

8.6 Stage 5: Financial statements

After the necessary **adjustments** and finalisation of account balances, the financial statements are prepared.

8.6.1 Income Statement / Profit and Loss Account

Shows financial performance over a **period**. It determines whether the business made a **profit** or a **loss**.

8.6.2 Balance Sheet / Statement of Financial Position

Shows the financial position at a **particular point in time**: Assets = Liabilities + Equity.

8.6.3 Cash Flow Statement

Shows how cash and cash equivalents changed during a period through different types of cash flows, broadly classified into:

Category	Nature
Operating activities	Cash flows from the business's day-to-day operations
Investing activities	Cash flows from buying or selling long-term assets and similar investments
Financing activities	Cash flows from raising or repaying capital and borrowings

This statement matters because **profit and cash are not the same thing**.

8.7 Closing and the next period

After the statements are prepared, the accounts are closed for the period and the cycle starts again with the transactions of the next accounting period.

8.8 Accounting cycle versus functions of accounting

The two ideas are closely related but should not be confused.

	Functions of accounting	Accounting cycle
Focus	*What accounting does*	The *sequence of procedures* through which records are processed
Sequence	Identify → Record → Classify → Summarise → Analyse → Interpret → Communicate	Transaction → Journal → Ledger → Trial Balance → Financial Statements → Closing / next period

The cycle is the **operational flow**. The functions describe the **purpose** of each part of it.

Function	Where it appears in the cycle
Identify	Stage 1: the financial transaction is identified and measured
Record	Stage 2: general journal
Classify	Stage 3: posting to the general ledger
Summarise	Stages 4 and 5: trial balance and financial statements
Analyse, Interpret, Communicate	Use of the financial statements, after the cycle's outputs are ready

9 Worked Case Study: From Transaction to Decision

The lecture's "big picture" example takes a business that (i) invests ₹5,00,000 capital, (ii) purchases inventory for ₹2,00,000, (iii) sells goods for ₹3,00,000, (iv) pays salary of ₹40,000 and (v) pays rent of ₹20,000. Initially these are just individual transactions. Below, the full chain of seven functions is carried out on them.

Assumptions added for the walk-through

The lecture gives only the five amounts. To complete the numbers we assume that (a) all five transactions are settled in **cash**, and (b) **all inventory purchased is sold** in the period (so closing inventory is nil). A second scenario at the end relaxes (a).

9.1 Step 1: Identify

All five events relate to the business, have financial effects and are measurable in money, so all five are accounting transactions.

9.2 Step 2: Record (journal)

No.	Account	Debit (₹)	Credit (₹)
1	Cash A/c (Dr)	5,00,000	
	Capital A/c (Cr)		5,00,000
2	Purchases A/c (Dr)	2,00,000	
	Cash A/c (Cr)		2,00,000
3	Cash A/c (Dr)	3,00,000	
	Sales A/c (Cr)		3,00,000
4	Salary A/c (Dr)	40,000	
	Cash A/c (Cr)		40,000
5	Rent A/c (Dr)	20,000	
	Cash A/c (Cr)		20,000

9.3 Step 3: Classify (ledger)

Each account collects its own entries. The Cash Account, for instance, becomes:

Cash A/c

Debit	₹	Credit	₹
Capital	5,00,000	Purchases	2,00,000
Sales	3,00,000	Salary	40,000
		Rent	20,000
		Balance c/d	**5,40,000**
Total	**8,00,000**	**Total**	**8,00,000**

The balance of ₹5,40,000 is a **debit balance** (the business has that much cash).

9.4 Step 4: Summarise

Trial balance

Account	Debit (₹)	Credit (₹)
Cash	5,40,000	
Purchases	2,00,000	
Salary	40,000	
Rent	20,000	
Capital		5,00,000
Sales		3,00,000
Total	**8,00,000**	**8,00,000**

Debits equal credits, so the records are arithmetically consistent.

Income statement (for the period)

Particulars	₹	₹
Sales		3,00,000
Less: Purchases (all sold, no closing inventory)		2,00,000
Gross profit		**1,00,000**
Less: Salary	40,000	
Less: Rent	20,000	60,000
Net profit		**40,000**

Balance sheet (at the end of the period)

Assets	₹	Liabilities and Equity	₹
Cash	5,40,000	Liabilities	0
		Capital introduced	5,00,000
		Add: net profit	40,000
		Total equity	**5,40,000**
Total assets	**5,40,000**	**Total liabilities + equity**	**5,40,000**

The accounting equation holds: $5{,}40{,}000 = 0 + 5{,}40{,}000$.

Cash flow statement (for the period)

Particulars	₹
Cash received from customers	3,00,000
Cash paid for inventory	(2,00,000)
Salary and rent paid	(60,000)
Net cash from operating activities	**40,000**
Net cash from investing activities	—
Capital introduced by owner (financing activities)	5,00,000
Net increase in cash (opening cash nil)	**5,40,000**

9.5 Step 5: Analyse

Measure	Calculation	Result
Gross profit margin	1,00,000 ÷ 3,00,000	33.3%
Net profit margin	40,000 ÷ 3,00,000	13.3%
Return on owner's capital	40,000 ÷ 5,00,000	8%

9.6 Step 6: Interpret

Out of every ₹100 of sales the business keeps about ₹13 as profit, and earned an 8% return on the owner's money. The business has **no outside liabilities**, so its financial risk from borrowing is nil. Whether 8% is satisfactory depends on comparison with earlier periods, similar businesses and other uses of the owner's capital, which is exactly why comparative study (Section 12) matters.

9.7 Step 7: Communicate

The statements are presented to the owner, who decides whether to continue, expand or withdraw funds, and to any bank or other party considering lending to the business.

Case Study: Profit is not the same as cash

Now change one assumption: of the ₹3,00,000 of sales, ₹1,00,000 is made **on credit** and not yet collected. Journal entry 3 becomes: Cash ₹2,00,000 (Dr), Debtors ₹1,00,000 (Dr), Sales ₹3,00,000 (Cr).

Item	All cash (₹)	With credit sale (₹)
Net profit	40,000	40,000
Cash at end	5,40,000	4,40,000
Receivables (debtors)	0	1,00,000
Total assets	5,40,000	5,40,000
Net cash from operating activities	40,000	(60,000)

Profit is unchanged at ₹40,000 but operating cash flow is negative. Revenue is recognised on the sale, whereas cash arrives later. A business can report an accounting profit and still face cash problems, so Profit $\neq$ Cash. This is why the Income Statement *and* the Cash Flow Statement are both needed.

Key Idea

The ultimate purpose of accounting is not merely "to maintain books". It is **to convert financial transactions into meaningful information that supports judgement and decision-making**.

10 Sub-disciplines: Financial, Cost and Management Accounting

Accounting has three major branches.

10.1 Financial accounting

Financial accounting is concerned with systematically **recording financial transactions**, **preparing financial reports**, determining **profit or loss**, determining **financial position** and reporting **sources and uses of cash**. Its purpose is to present information about an organisation's **financial performance and financial position**.

Main outputs: Income Statement, Balance Sheet and Cash Flow Statement.

It tells us about	Shown by
Performance	Profit / Loss
Position	Assets, Liabilities, Equity
Cash	Cash inflows and outflows

Key Idea

Financial accounting is primarily concerned with reporting financial information about the business.

10.2 Cost accounting

Cost accounting focuses on the **analysis and determination of the cost** of products manufactured or services provided. It helps determine the cost of production, the cost of individual products or services, cost behaviour, opportunities for cost control and the efficiency of operations.

Example: Costs of a manufactured product

A company's costs of making a product may include raw materials, direct labour, factory overhead, power, transportation and other production expenses. Cost accounting determines the cost associated with producing the product.

Cost accounting also helps in **controlling costs** and in providing **costing information to management for decision-making**.

10.3 Management accounting

Management accounting uses relevant financial and cost information to support **internal management decisions**. It draws its information mainly from **financial accounting** and **cost accounting**. It helps with:

Decision area	What it involves
Budgeting	Planning future revenues, expenses, cash requirements, etc.
Profitability assessment	Finding which products, activities, customers or divisions are more profitable
Pricing decisions	Determining or evaluating prices from costs, demand and profitability
Capital expenditure decisions	Evaluating major long-term investments, such as machinery or expansion

Key Idea

Management accounting converts accounting information into information useful for managerial planning, control and decision-making.

10.4 Comparison of the three branches

Feature	Financial	Cost	Management
Main focus	Overall financial performance and position	Cost determination and control	Management decision-making
Main users	Primarily external users, though also useful internally	Management	Internal management
Information	Financial transactions and statements	Product / service / process costs	Financial + cost + other relevant information
Major purpose	Reporting	Cost analysis and control	Planning, control and decisions
Typical applications	Profit, assets, liabilities, cash flows	Product costing, cost control	Budgeting, pricing, profitability, investment decisions

$$\text{Financial Accounting} + \text{Cost Accounting} \rightarrow \text{Management Accounting} \rightarrow \text{Management Decisions}$$

Management accounting is not independent of the other two. It makes extensive use of the information they produce.

11 Accounting as Both a Science and an Art

A common theoretical question is: *is accounting a science or an art?* The lecture's answer is that it is **both**.

	Science	Art
Idea	A systematic body of knowledge developed through observation, study, practice, investigation, rules and principles	The application of knowledge, methods and techniques to practical situations
Why accounting fits	Based on principles, concepts, rules, conventions, standards and systematic procedures for identifying, measuring, recording, classifying and reporting	Principles must be applied correctly to actual situations: recording transactions, preparing accounts, making estimates, presenting information, producing meaningful statements
One-line answer	Knowledge and principles	Practical application of that knowledge

$$\text{Accounting} = \text{Science} + \text{Art}$$

Key Idea

Accounting is a **science** because it contains a systematic and organised body of knowledge governed by established principles and standards. It is an **art** because it involves the practical

application of those principles, methods and techniques.

12 Uses and Advantages of Accounting

12.1 Protecting business assets

A systematic accounting system keeps records of cash, inventory, machinery, receivables and other assets. Proper records make it easier to **monitor assets and detect irregularities**, so accounting helps in the **control and protection of business assets**.

12.2 Facilitating settlement of tax liabilities

Systematic records provide evidence of transactions and financial results. They help in **calculating tax liabilities**, preparing tax-related information and supporting the correctness of reported transactions, and so facilitate compliance with tax obligations.

12.3 Replacing memory

A business may conduct a huge number of transactions, and it is impossible to remember every sale, purchase, payment, receipt and expense. Accounting provides a permanent systematic record.

Accounting records replace reliance on human memory

12.4 Facilitating comparative study

Accounting records make it possible to **compare performance across periods**, for example profit in 2025 versus profit in 2026, sales growth, expense growth or changes in profit margin. Comparisons help management spot significant changes and investigate their causes.

12.5 Facilitating loans

Banks and financial institutions often need financial information before granting a loan. Accounting records provide evidence of business performance, profitability, assets, liabilities, repayment capacity and financial stability, and therefore support the business's ability to obtain financing.

12.6 Facilitating sale of the business

When an owner wishes to sell the business, a potential buyer needs information about its assets, liabilities, profitability, performance and overall financial position. Proper records are the basis for evaluating the business and for determining an appropriate **purchase price**.

Use	In one line
Protects assets	Records of cash, inventory, machinery and receivables allow control and detection of irregularities
Tax settlement	Provides evidence for computing tax liabilities
Replaces memory	A permanent, systematic record
Comparative study	Compares periods, growth and margins
Loans	Gives lenders evidence of repayment capacity
Sale of business	Helps a buyer evaluate and price the business

13 Limitations of Accounting

Accounting is extremely useful, but it is **not a perfect representation** of everything happening in a business.

13.1 It ignores qualitative elements

Accounting is concerned primarily with matters that can be **measured in monetary terms**. Important qualitative factors may therefore not be reflected in the records, for example the quality of employees, employee morale, industrial relations, quality of management, public relations, brand reputation and customer loyalty.

Example: Same statements, different businesses

Two companies may have identical financial statements, yet one may have a much stronger brand and more loyal customers. Traditional financial accounting may not capture this difference adequately.

13.2 It may lead to window dressing

Definition: Window dressing

Window dressing is the presentation or manipulation of financial accounts so as to make the business appear financially stronger or better than its actual condition.

The purpose may be to conceal unfavourable facts, to improve the apparent financial position or to present a more attractive picture to users. For example, management might use accounting choices or the timing of transactions to make year-end numbers look more favourable, subject to what accounting standards and law permit or prohibit.

Important distinction

Window dressing is **not** an inherent purpose of accounting. It is a **potential misuse or manipulation** of accounting information.

13.3 It is often based on historical cost

Traditional accounting frequently records assets at their **historical cost**, the amount originally paid to acquire them, subject to the applicable accounting framework and later adjustments. Over

time this may become less representative because of inflation, changes in market prices, changes in purchasing power and changes in economic conditions.

Example: Land bought decades ago

Land purchased decades ago for ₹10 lakh is now worth ₹2 crore. A historical-cost figure of ₹10 lakh does not fully reflect its current economic value. When current values differ substantially from historical amounts, the relevance of the information is reduced.

13.4 It is not fully exact

Many accounting figures rest on **estimates and assumptions** rather than direct observation with complete certainty. Examples:

- useful life of an asset,
- depreciation,
- provision for doubtful (bad) debts,
- expected losses,
- certain inventory values or recoverability,
- other provisions and valuation adjustments.

Example: Depreciation

When a machine is purchased, its actual useful life cannot always be known precisely, so an estimate must be made of how long it will be useful, and the depreciation charge depends on that estimate.

This does not mean accounting is arbitrary

Accounting estimates are generally made using established principles, standards, available evidence, assumptions and professional judgement.

13.5 Summary of limitations

Limitation	Meaning
Qualitative factors ignored	Employee quality, reputation and morale may not be adequately captured
Window dressing	Accounts may be presented or manipulated to show a better picture
Historical cost	Historical amounts may become less representative of current values
Not fully exact	Some figures depend on estimates and judgement

Key Idea

Financial statements should be **interpreted carefully**. They are highly useful, but they do not provide a complete picture of every economic aspect of a business.

14 Types of Accounting Information

Accounting information falls into three broad categories:

Profit / Surplus | Financial Position | Cash Flow

14.1 Information relating to profit or surplus

The **Income Statement / Profit and Loss Account** reports the profit earned or loss incurred during an accounting period. It reflects the results of business operations and other relevant items under the applicable accounting framework.

- **Key question:** Did the business make a profit or a loss during the period?
- **Time perspective:** a **period-based** statement (e.g. "Profit for the year ended 31 March 2026").

14.2 Information relating to financial position

The **Balance Sheet / Statement of Financial Position** reports assets, liabilities and equity (capital) of the entity at a particular date.

- **Key question:** What does the business own and what does it owe at a particular date?
- **Time perspective:** a **point-in-time** statement (e.g. "Financial position as at 31 March 2026").

Special point: not-for-profit organisations

For a not-for-profit organisation, the difference between assets and liabilities is generally called the **General Fund**, rather than owner's capital or equity in the profit-oriented sense.

$$\text{Net Assets} = \text{Assets} - \text{Liabilities}$$

For such entities this is generally represented by the General Fund, subject to the relevant accounting framework. Likewise, the result for the period is described as a *surplus* (or deficit) instead of profit (or loss), which explains the heading "Profit/Surplus" above.

14.3 Information about cash flow

The **Cash Flow Statement** shows the movement of cash during a specific period. It reports **cash inflows** and **cash outflows** and helps explain changes in cash and cash equivalents.

Why it matters. Many decisions depend on the availability of cash, for example paying liabilities, paying dividends, purchasing assets, expanding operations and meeting short-term obligations. A business can report accounting profit while still experiencing cash-flow problems.

Profitability and cash availability are different concepts

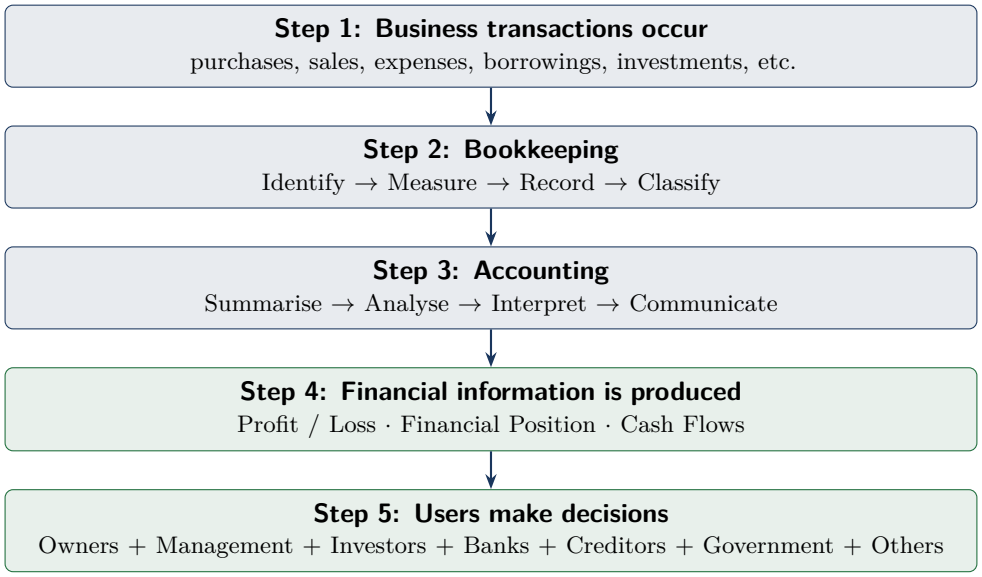
14.4 The three financial questions

Question	Information	Statement	Time view
How did the business perform?	Profit / Loss	Income Statement / P&L	Over a period
What is the business's position?	Assets, liabilities, equity	Balance Sheet	At a date
Where did cash come from and where did it go?	Cash inflows / outflows	Cash Flow Statement	Over a period

Together these statements give a far more complete understanding of a business than any one alone.

15 The Complete Conceptual Framework

All the material can now be connected into one architecture.



15.1 Important conceptual connections

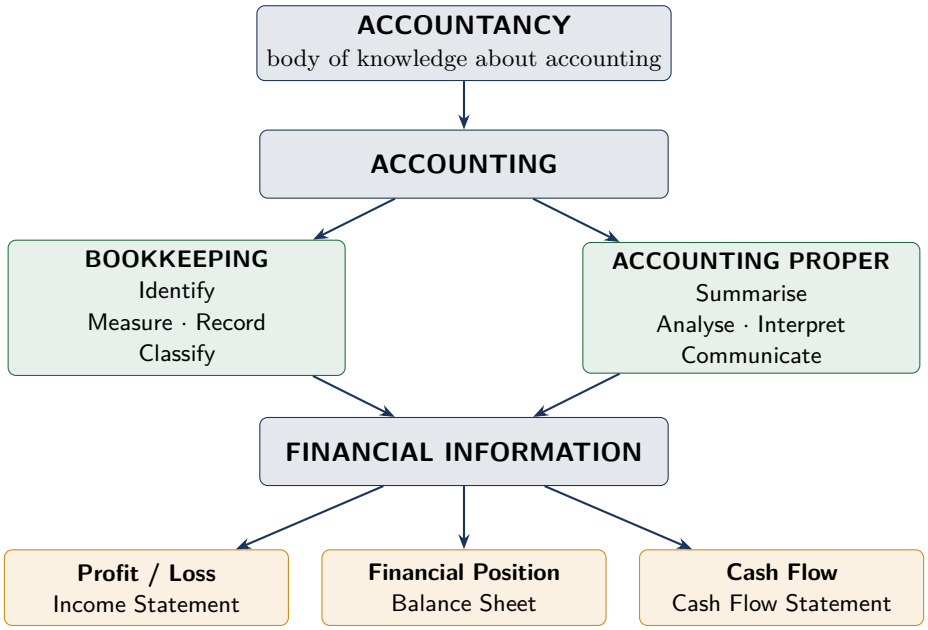
Pair / group	Relationship
Bookkeeping vs. accounting	Bookkeeping = recording and classification. Accounting = summarising, analysis, interpretation and communication.
Accountancy vs. accounting	Accountancy = the broader body of knowledge. Accounting = the application or process of that knowledge.
Financial accounting	→ Financial reporting
Cost accounting	→ Cost determination and cost control
Management accounting	→ Management planning, control and decisions

16 Glossary of Key Terms

Term	Meaning
Accounting	Process of identifying, recording, classifying, summarising, analysing, interpreting and communicating financial information
Accountancy	The systematic body of knowledge (principles, concepts, rules, conventions, techniques) behind accounting
Bookkeeping	Recording and classifying business transactions that have monetary aspects
Business transaction	A financially measurable economic event affecting the business
Source document	Evidence of a transaction: invoice, receipt, cash memo, bill, contract, bank document, purchase order
Journal	Book in which transactions are initially recorded, generally chronologically
Subsidiary books	Separate books of original entry for frequent transaction types
Ledger	Collection of individual accounts used to classify transactions account-wise
Posting	Transferring journal entries to the ledger accounts
Trial balance	Statement of ledger balances used mainly to check arithmetical equality of debits and credits
Double entry	Recording each transaction as equal debits and credits
Financial statements	Formal statements presenting performance, position and cash flows
Income statement / P&L	Statement of profit or loss over a period
Balance sheet	Statement of assets, liabilities and equity at a date
Cash flow statement	Statement of cash inflows and outflows over a period
Revenue	Income earned from the business's activities
Expense	Cost incurred in earning revenue
Profit	Excess of revenue over expenses for a period
Loss	Excess of expenses over revenue for a period
Assets	Economic resources controlled by the business
Liabilities	Obligations of the business
Equity / Capital	Owners' residual interest in the business
Receivables (debtors)	Amounts owed to the business
Payables (creditors)	Amounts the business owes
Inventory (stock)	Goods held for sale (or for use in producing goods for sale)
General Fund	Net assets of a not-for-profit organisation
Accounting period	The span (month, quarter, year) for which results are determined
Accounting cycle	The repeated process by which transactions are recorded, processed and reflected in financial statements
Window dressing	Presenting accounts to look better than the actual condition
Historical cost	The original amount paid to acquire an asset

17 Revision

17.1 Quick revision sheet



17.2 Exam-oriented summary

Definition: Accounting (exam wording)

Accounting is the process of **identifying, recording, classifying, summarising, analysing, interpreting and communicating** financial information to users for **judgement and decision-making**.

Topic	What to remember
Seven functions	I–R–C–S–A–I–C: Identify, Record, Classify, Summarise, Analyse, Interpret, Communicate
Accounting cycle	Transaction → Journal → Ledger → Trial Balance → Financial Statements (repeats each period)
Accounting equation	Assets = Liabilities + Equity
Profit and loss	Profit = Revenue − Expenses; Loss = Expenses − Revenue
Double entry	Total debits = Total credits
Father of Accounting	Luca Pacioli, 1494, *Summa de Arithmetica*, double-entry bookkeeping
Four objectives	Systematic records; profit or loss; financial position; information to interested parties
Three branches	Financial, cost, management accounting
Science and art	Science = principles and knowledge; Art = practical application
Four limitations	Qualitative factors, window dressing, historical cost, estimates and judgement
Three information types	Profit/loss (P&L), position (Balance Sheet), cash flow (Cash Flow Statement)

17.3 Common mix-ups

Traps to avoid

- **Accounting is not just bookkeeping.** Bookkeeping is one part of accounting (recording and classifying).
- **Profit is not cash.** A credit sale raises profit without raising cash.
- **A balanced trial balance is not proof of error-free books.**
- **Income statement is for a period; balance sheet is for a point in time.**
- **Window dressing is a misuse of accounting**, not a purpose of it.
- **Estimates are not arbitrary.** They follow principles, standards, evidence and professional judgement.
- **Pacioli documented and popularised** double entry; he did not invent bookkeeping from nothing.
- **Functions $\neq$ cycle.** Functions describe what accounting does; the cycle is the sequence of procedures.

17.4 Central takeaway

Key Idea

A business generates financial transactions. Bookkeeping systematically records and classifies those transactions. Accounting then summarises, analyses, interprets and communicates the resulting information. This produces information about **profitability, financial position and cash flows**, which users rely on for economic decision-making.

This foundation makes the upcoming topics much easier to connect: **accounting concepts and principles, the accounting equation, debit–credit rules, journal entries, ledger, trial balance and financial statements**. The course moves from *what accounting is* to *how individual transactions actually affect accounts and financial statements.*

17.5 Self-test questions

1. Define a business transaction and give one event that is *not* an accounting transaction.
2. Write the definition of accounting and list the seven functions in order.
3. Which function answers "Which transactions belong together?" and through what is it carried out?
4. State three differences between bookkeeping and accounting.
5. List the five stages of the accounting cycle. Why is it called a cycle?
6. Why does an agreeing trial balance not prove that the books are free from error?
7. State the accounting equation. A business has assets of ₹3,00,000 and liabilities of ₹1,20,000. What is its equity?
8. Distinguish between the income statement and the balance sheet on the basis of time perspective.
9. A business makes a profit of ₹40,000 but its operating cash flow is negative. How is that possible?
10. Name the three branches of accounting and state the main focus of each.

11. Explain why accounting is both a science and an art.
12. List and briefly explain the four limitations of accounting. Why is window dressing not a purpose of accounting?
13. Who is the Father of Accounting and why?

17.6 Answer key

1. A measurable economic event with a financial effect on the business (e.g. paying rent). A decision to hire an employee next month is not yet a transaction.
2. See the definition in Section 2; Identify, Record, Classify, Summarise, Analyse, Interpret, Communicate.
3. Classifying, through ledger accounts.
4. E.g. objective (record vs. ascertain results and position), stage (primary vs. secondary), skills (clerical vs. analytical), and who performs it (bookkeepers vs. accountants).
5. Transaction, journal, ledger, trial balance, financial statements. The process repeats every accounting period.
6. Errors such as omitted transactions, wrong-account postings or offsetting errors leave debit and credit totals equal.
7. Assets = Liabilities + Equity. Equity = 3,00,000 − 1,20,000 = 1,80,000.
8. The income statement covers a period of time; the balance sheet is a snapshot at a point in time.
9. Credit sales: revenue is recognised, so profit arises, but cash has not yet been received (see the case study in Section 9).
10. Financial accounting (reporting), cost accounting (cost determination and control), management accounting (planning, control and decisions).
11. Science: systematic body of principles and standards. Art: practical application of those principles.
12. Qualitative factors ignored; window dressing; historical cost; estimates and judgement. Window dressing is a misuse or manipulation of information, not an aim of accounting.
13. Luca Pacioli, who documented and popularised double-entry bookkeeping in 1494.